

HCL Technologies Ltd (HCLTECH)

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Company Overview

HCL Tech is a leading global IT services company, which is ranked amongst the top five Indian IT services companies in terms of revenues. Since its inception into the global landscape after its IPO in 1999, HCL Tech has focused on transformational outsourcing, and offers an integrated portfolio of services including software-led IT solutions, remote infrastructure management, engineering and R&D; services and BPO. The company leverages its extensive global offshore infrastructure and network of offices in 46

Key Financial Ratios Table

Year	NPM %	ROE %	D/E	Interest Coverage	Asset Turnover	FCF (Cr)
2024	14.3%	23.0%	0.08	46.5	1.11	15840.0
2023	14.6%	22.7%	0.07	67.9	1.09	14436.0
2022	15.8%	21.8%	0.10	67.7	0.96	18497.0
2021	14.8%	18.6%	0.11	41.0	0.88	13953.0
2020	15.6%	21.6%	0.16	35.5	0.85	1027.0
2019	16.7%	24.5%	0.10	85.5	1.04	5715.0
2018	17.2%	24.0%	0.02	180.8	1.05	6092.0
2017	18.1%	26.1%	0.02	128.8	1.04	5105.0
2016	18.0%	20.5%	0.04	101.7	0.79	1615.0
2015	20.0%	30.3%	0.03	105.6	1.04	3451.0

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Qualitative Investment Insights

Strengths (Pros):

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Very high interest coverage ratio reflects negligible financial stress from debt servicing

Risks & Concerns (Cons):

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility